

Spiels for Your Name

1 Elevator Spiel

My job market paper is at the intersection of wealth inequality and macroeconomics. The core question I answer is: *Does allowing for heterogeneous returns in a standard consumption-saving framework help explain the skewed distribution of wealth observed in the data?*

My contribution to the literature can be found in the fact that my framework performs better at matching the lower and middle portions of the wealth distribution, specifically the bottom 60%, and this difference matters quantitatively. There is a paper similar to my own which features a partial equilibrium model with households that make consumption-saving decisions over time, and an exogenous returns distribution is estimated there. Their model matches the top 1% of the wealth distribution quite closely. However, in their setting, the bottom 60 percent holds far too much wealth relative to the data.

In my case, the presence of income uncertainty generates a precautionary-savings motive that leads households to optimally hold buffer-stock wealth. However, that buffer stock is lower in my setting with an uncertain income process than is suggested in that setting with deterministic income. Less genuinely low-wealth households in the model will lead to lower estimates of the aggregate MPC, as these poorer households are in the hand-to-mouth region where consumption responds strongly to income shocks. My estimates of the aggregate MPC are in the 20% to 40% range that I've seen for empirical estimates of the MPC. I believe this distinction makes my paper more in line with the broader HA-macro literature.

The early literature on wealth inequality focused on whether skewed labor earnings alone could explain the shape of the wealth distribution. But while income is unequal, wealth is far more skewed, especially in the upper tail. Early models then tried adding stochastic returns to wealth as an exogenous process, which did help match the distribution empirically. However, those models do not link wealth accumulation directly to households' decisions about saving and consumption.

My paper is in line with heterogeneous-agent macro models that contribute to this discussion on wealth inequality. In my model, agents face *ex-post* income uncertainty modeled as permanent and transitory shocks drawn from a common distribution. In this setting, otherwise identical households (same preferences and discount factors) choose different optimal saving paths based on their realized shock histories. They also face *ex-ante* heterogeneity in returns: each household draws a constant, lifetime rate of return from a uniform distribution. This is the object estimated in the paper so that simulated wealth moments closely match those in the Survey of Consumer Finances.

I find that introducing return heterogeneity on top of labor income risk substantially improves the model's fit to both targeted and untargeted moments of the wealth distribution. Unlike parameters such as time preference or risk aversion, household returns are observable,

and my estimated distribution aligns closely with the empirical evidence from Norwegian administrative data on returns to wealth.

There are two key policy implications. They are both centered on the idea that when households earn different rates of return, a tax on capital income is no longer equivalent to a tax on wealth. A *wealth tax* effectively taxes the entire stock of wealth regardless of the return it generates. A *capital-income tax* applies only to the flow of investment income.

For the first implication, when returns differ across households, a capital-income tax reduces wealth inequality more than an equivalent wealth tax, because it places a larger burden on households earning high returns.

Second, I measure welfare by comparing lifetime utility for newborn households under each tax, both for expected lifetime utility and lifetime utility conditional on the realization of the return type. The realized returns are those estimated to match the SCF wealth moments. I find that the capital tax is preferred by most return types; specifically, six out of seven.

This matters because wealth and capital-income taxation are frequently debated in policy circles. My findings suggest that heterogeneity in returns should play a central role in evaluating such proposals, both for their distributional impact and for welfare consequences.

2 Other papers

As for the other chapters of my dissertation, I am currently working with HRS data to consider the relationship between trust and returns to net worth. Although there is much work on trust and the economic performance of countries, there is a recent paper which looks at trust and economic performance at the individual level. They find that there's a right amount of trust regarding maximizing an individual's income – basically that you don't want to be too pessimistic or too trusting. My work contributes to this literature by seeking to establish a similar relationship for returns. The idea is that, if the trust mechanism shows up for labor income and employment, then it should show up in financial interactions since the promise of future repayment, which is inherent in financial contracting, naturally requires some level of trust. In terms of the empirical literature of returns to assets, we know that there is a persistent component to returns measured in many datasets, and I'd like to see what happened to the distribution of this persistent component when trust and economic performance relationship is accounted for. I find that the hump-shaped relationship for trust holds both for average returns over the period, as well as in the panel setting where the trust measure is assumed to be time-invariant over the period.

3 Why do you want to work at this institution?

There are 3 main reasons I would like to work at (your institution).

First, I enjoy thinking about challenging economic problems using mathematical modeling, theory, and computational tools. These are approaches that align well with the type of work that is conducted at (your institution).

Second, I'm excited to work with like-minded individuals whose diverse experiences and skills will complement my own. An environment like this will allow me to contribute to a greater, common goal.

Lastly, while I am finally finishing school, I do view myself as a lifelong learner. I'm eager to see how the concepts I've studied over the past decade translate into completing tasks in the work setting. At the very least, I feel the past 6 years of my life have helped me to hone my problem-solving skills.

4 Future Research and Career Aspirations

Broadly speaking, I consider myself an economist interested in the intersection between macroeconomics and inequality. My primary interests were wealth inequality and its determinants, which naturally pushed me in the direction of household finance. However, there are many aggregate variables that are influenced by inequality among households. Combining theoretical predictions and empirical evidence to answer questions and considering the effects of reactive policy decisions are two hallmark traits of modern economic research. I believe the carefulness needed to accomplish these tasks has sharpened my problem-solving ability. I know that I can carry that into any work I am asked to do moving forward.

5 Teaching

I've led weekly sections and held office hours for introductory macro, intermediate macro, and an upper-level macro policy seminar, and I've also tutored students at multiple levels. I'm prepared to teach Principles and Intermediate Macroeconomics, and I'm confident I can teach Microeconomics as well. For electives, I'd love to offer a course on the intersection of inequality and macroeconomics, or a computationally focused course on heterogeneous-agent macro models.

6 AI use in Teaching, Research, Work

6.1 Use of AI in Teaching.

AI creates a real challenge when it comes to assessing student's learning over time. I believe traditional exams are one of the best ways to evaluate whether students have retained material. At the same time, AI is here to stay and offers meaningful efficiency gains. My solution would be to give exams in my class but shift a larger share of the course grade toward longer projects. This way, even with AI use, completing the project accurately would take clear understanding of the course material.

6.2 Use of AI in Research.

In research, AI has clear efficiency gains. It makes coding and finding relevant literature much faster. It can also do these tasks simultaneously, which makes early project development much more efficient. It isn't perfect and takes a careful eye to catch errors that it makes, but it certainly frees time to focus on the substantive portion of a project.

6.3 Use of AI in Professional or Consulting Work.

In applied or consulting settings, I would use AI wherever it improves efficiency, especially in the context of statistical analysis or solving and simulating models computationally. I would also use it to quickly identify the existing landscape of relevant research, policy, or technical information needed to complete my tasks.